LABOUR VARIANCES

rate, time, idle, mix!

Cost and Management Accounting

IN SIMPLE WORDS *Labour variance = standard labour cost for actual output minus actual labour cost. Split it into rate and hours effects.*

1 LABOUR COST VARIANCE

Standard cost of labour for actual output minus actual cost of labour paid. Positive is Favourable, negative is Adverse.

LCV = Rate + Efficiency + Idle

2 IDLE TIME VARIANCE

Standard rate multiplied by idle hours paid but not worked. It is always Adverse.

Idle time is never favourable

1. Labour Rate Variance arises from paying a different rate per hour than standard.
2. Labour Efficiency Variance arises from actual hours worked differing from standard hours for actual output.
3. Idle time hours are paid but not worked, so they are excluded from efficiency and shown separately.
4. Mix and yield variances split efficiency when workers of different grades are used.



Swipe for the formula →

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THE LABOUR FORMULAS

Labour Variances (Standard Costing)

SR first, AR next!

Labour Rate Variance

LRV = AH paid × (SR − AR)

AH paid = actual hours paid, SR = standard rate per hour, AR = actual rate per hour. Positive = F, negative = A.

Labour Efficiency Variance

LEV = SR × (SH − AH worked)

SH = standard hours for actual output, AH worked = actual hours less idle hours. Positive = F, negative = A.

Idle Time Variance

IDLE TV = SR × Idle hours

Always Adverse. Check: LCV = (SH × SR) − (AH paid × AR) = LRV + LEV + Idle TV.

PAY MORE OR WORK SLOW? Rate variance tells about the price paid per hour; efficiency and idle time tell about hours used.

Swipe for a memory trick →

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STUDY TRICK

Labour Variances (Standard Costing)

remember the three pieces

STANDARD MINUS ACTUAL = F

Always write Standard first, Actual second. A positive answer is Favourable, a negative one is Adverse. Use it for rate, efficiency and cost.

HOW TO ATTEMPT IT

1 Find SH for actual output → 2 Note AH paid, idle hrs, AH worked →

3 Compute LRV on hours paid → 4 Compute LEV on hours worked →

5 Add up and tally with LCV

EXAM TIP

Rate variance uses hours paid; efficiency uses hours worked. Tally LRV + LEV + Idle TV with LCV to check.

DOUBT BUSTER

Why is idle time variance always Adverse? Idle hours are paid for but give no output, so the cost is a loss against standard. Standard normally allows no idle time.

Swipe for common mistakes →

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COMMON MISTAKES

Labour Variances (Standard Costing)

hours paid or hours worked?

✗ Using hours worked for the rate variance

✓ LRV uses hours paid: AH paid × (SR − AR).

✗ Using actual hours paid in efficiency variance

✓ Use hours worked (paid hours less idle hours) in efficiency: SR × (SH − AH worked).

✗ Taking SH as standard hours for budgeted output

✓ SH is standard hours for the actual output produced.

TOMORROW'S CA INTER MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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